

Categorisation by Industry:

① Practicality

Sensible for investment analyst to specialise

- factors affecting one company in industry are likely to be relevant to other companies in the industry

- info → common source + presented in the same way

- no single analyst is an expert in all areas

→ specialisation

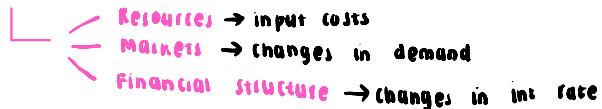
② Correlation of investment performance

- after overall market movements, share price movements within industrial groupings tend to correlate more closely than companies in other industries

- share price movement → reflect change in operating environment

- changes affect companies in industries in a similar way

- factors affecting 1 company = relevant to others



Problems with industry

grouping:

- companies operate through several sectors

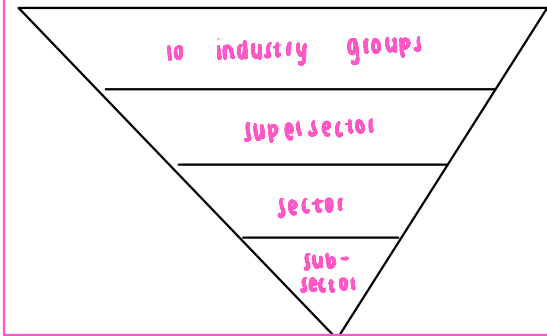
- Conglomerate companies
- Issue: diversity into new sectors
- Sectors = different
- multinational companies

- heterogeneity of companies

- differ within the same sector
 1. size
 2. operate within different market niches

CHAPTER III: INDUSTRY CLASSIFICATION

FTSE classification system



Oil and Gas → Energy

- extraction + supply

- Renewable Energy

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Company features

- large
- commodity dependant
- higher risk
- global

Basic materials

- intermediate goods
 - chemical + mining
 - steel + metals
 - forestry + paper

Industrials

- supply + production of capital goods
 - building materials + construction
 - industrial transportation
 - industry support services

Distinct features: **POV 66 PIC**

- depends on level of investment spending
- cyclical
- depends on government spending
- profits move ahead of trade cycle
- volatility in profits
- high profit margin when conditions are good
- low gearing → volatile profits
- exposure to foreign markets + competition

Consumer Goods

- Manufacture
 - durables → car, TV, white goods
 - non-durables → food, drinks, tobacco

Key features:

- increasingly capital intensive
- moderate - high gearing
- low profit margin → competition

Healthcare

- Who
 - healthcare providers
 - pharmaceuticals
 - medical equipment + supplies

Consumer Services

- Includes
 - food, drug, general retailers
 - media companies
 - companies in travel + leisure

Key features:

- labour intensive
- defensive companies → high gearing
- domestic market = NB

Telecommunications

- fixed line + mobile services

Utilities

- supply of continuously demanded goods
 - electricity
 - water
 - gas
- demand + market share = stable
- services = essential → less affected by economic cycle

Key features:

- capital intensive → extensive physical infrastructure
- natural monopoly
 - vulnerable to other political risks
- subject to tight government regulations on prices
- low growth prospects → high gross dividend yield
- low financial gearing → despite
 - stable demand
 - large capital requirements
- domestic market = NB → some are diversifying globally

Financials

- industries
 - Banks → ↑ gearing + volatile profits
 - General Insurance companies → volatile profits, no borrowing
 - Life Insurance companies → stable profits + ↓ gearing
 - Investment Trusts
 - Real Estate Companies

Key features:

- capital intensive
- labour costs = NB
- domestic market = NB → ↑ globalisation

Technology

- industries
 - 'new' industry of info technology
 - software
 - providers of computer services

- investor demand = ↑ share price

⊕ Yet to pay dividend or make a profit

Features:

- low dividend yield
- assets are largely intangible